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A Portfolio Needs Scenarios, Not a Single Annual Plan

Pre-agree contingent choices before surprise forces them

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DECISION SIGNAL

Scenarios create options before a capacity change, dependency slip, or new demand forces an unprepared choice.

The operating problem

Capacity change is not a label to add to a project charter. It is a commitment with an owner, a boundary, and evidence that a sponsor can examine. The point is to turn an assumption into an explicit condition of work.

In practice, teams should ask what would make capacity change fail under ordinary operating pressure: a competing priority, a missing input, an ambiguous decision, a changed dependency, or an exception that no one owns. The answer identifies the smallest control required before reliance expands.

The standard is deliberately practical. A team can narrow the commitment, stage discovery, add a named review, secure a decision, or stop the work. Each is better than continuing under a premise that the organization has not actually accepted.

The operating standard

The first design question is ownership. Someone must be able to say whether capacity change is adequate for the next commitment, and that person needs information early enough to act. Naming an owner is not bureaucracy; it prevents a consequential judgment from being distributed so widely that nobody can make it.

The second design question is evidence. Evidence need not be a large report. It may be a decision record, a sample of real workflow cases, a capacity confirmation, a stakeholder commitment, or a documented test. The useful standard is whether a skeptical sponsor can understand why capacity change is credible and what remains uncertain.

The third design question is boundary. Teams need to know what capacity change does not authorize, what condition would cause it to be revisited, and which escalation path applies when the boundary is crossed. A visible boundary turns surprise into a managed exception rather than an informal renegotiation.

What must become explicit

The fourth design question is cadence. Operating conditions change after a decision. A lightweight recurring review asks whether capacity change still fits the work, whether the original evidence still applies, and whether reliance should expand, remain bounded, or be reduced. That is how a framework becomes an operating control.

The final design question is learning. Recurring problems around capacity change should improve the next decision rather than become folklore about a difficult project. Capturing the pattern gives portfolio leaders better questions, more realistic commitments, and a way to distinguish a one-off event from a weakness in the operating model.

This is also where proportionality matters. A low-consequence decision can use a short record and a rapid review. A decision that changes a recurring workflow, exposes sensitive information, consumes scarce capacity, or creates a difficult-to-reverse dependency deserves more evidence and a clearer escalation path. The framework scales the control to the commitment rather than applying one ritual to every kind of work.

Applying the test

A useful operating illustration is a team that appears ready until an ordinary case falls outside the happy path. The work then pauses while people discover who may decide, what outcome is actually protected, whose participation is needed, or what capacity is available. Designing capacity change in advance makes that ordinary case visible before it becomes expensive.

The portfolio implication is cumulative. One unresolved condition may be tolerable; many unresolved conditions across active initiatives create a hidden demand on senior attention and specialist capacity. Making capacity change explicit allows leaders to decide which uncertainty deserves investment, which should remain bounded, and which initiative should wait.

The practical record should be concise enough to be used. It should identify the next commitment, the owner, the evidence examined, the boundary of reliance, and the next review date. If the record cannot make those elements plain, it is not yet helping the team govern capacity change; it is simply producing more documentation.

A proportionate control

A useful review also names the decision that follows from the evidence. If capacity change is adequate, the organization may extend the commitment. If it is not, the team should be able to narrow the scope, add discovery, change the intervention, or hold the work without treating any of those choices as failure. This keeps governance attached to a real choice instead of turning it into commentary on work that will continue regardless.

Leaders should resist the temptation to convert this test into a universal score. The relevant question is whether the available evidence is sufficient for this particular next step, given the consequence of error and the reversibility of the commitment. A small, reversible trial can proceed with less evidence than an enterprise-wide rollout, a material dependency, or an automated action that is difficult to undo.

This distinction matters because a portfolio is not improved by making every initiative look equally governed. It is improved when leaders can see which commitments have earned confidence, which still need evidence, and where limited attention should be applied next. The record makes that judgment repeatable without pretending that the judgment can be automated.

The shift

The habit can begin with a short standing question in the normal management cadence: what would we need to see before we extend reliance on capacity change? The answer should be recorded where the people doing the work can find it. That modest discipline reduces retrospective debate because it makes the original basis for the decision available when conditions change.

Dependency slip is not a label to add to a project charter. It is a commitment with an owner, a boundary, and evidence that a sponsor can examine. The point is to turn an assumption into an explicit condition of work.

In practice, teams should ask what would make dependency slip fail under ordinary operating pressure: a competing priority, a missing input, an ambiguous decision, a changed dependency, or an exception that no one owns. The answer identifies the smallest control required before reliance expands.

The standard is deliberately practical. A team can narrow the commitment, stage discovery, add a named review, secure a decision, or stop the work. Each is better than continuing under a premise that the organization has not actually accepted.

The first design question is ownership. Someone must be able to say whether dependency slip is adequate for the next commitment, and that person needs information early enough to act. Naming an owner is not bureaucracy; it prevents a consequential judgment from being distributed so widely that nobody can make it.

The second design question is evidence. Evidence need not be a large report. It may be a decision record, a sample of real workflow cases, a capacity confirmation, a stakeholder commitment, or a documented test. The useful standard is whether a skeptical sponsor can understand why dependency slip is credible and what remains uncertain.

The third design question is boundary. Teams need to know what dependency slip does not authorize, what condition would cause it to be revisited, and which escalation path applies when the boundary is crossed. A visible boundary turns surprise into a managed exception rather than an informal renegotiation.

The fourth design question is cadence. Operating conditions change after a decision. A lightweight recurring review asks whether dependency slip still fits the work, whether the original evidence still applies, and whether reliance should expand, remain bounded, or be reduced. That is how a framework becomes an operating control.

The final design question is learning. Recurring problems around dependency slip should improve the next decision rather than become folklore about a difficult project. Capturing the pattern gives portfolio leaders better questions, more realistic commitments, and a way to distinguish a one-off event from a weakness in the operating model.

This is also where proportionality matters. A low-consequence decision can use a short record and a rapid review. A decision that changes a recurring workflow, exposes sensitive information, consumes scarce capacity, or creates a difficult-to-reverse dependency deserves more evidence and a clearer escalation path. The framework scales the control to the commitment rather than applying one ritual to every kind of work.

A useful operating illustration is a team that appears ready until an ordinary case falls outside the happy path. The work then pauses while people discover who may decide, what outcome is actually protected, whose participation is needed, or what capacity is available. Designing dependency slip in advance makes that ordinary case visible before it becomes expensive.

The portfolio implication is cumulative. One unresolved condition may be tolerable; many unresolved conditions across active initiatives create a hidden demand on senior attention and specialist capacity. Making dependency slip explicit allows leaders to decide which uncertainty deserves investment, which should remain bounded, and which initiative should wait.

The practical record should be concise enough to be used. It should identify the next commitment, the owner, the evidence examined, the boundary of reliance, and the next review date. If the record cannot make those elements plain, it is not yet helping the team govern dependency slip; it is simply producing more documentation.

A useful review also names the decision that follows from the evidence. If dependency slip is adequate, the organization may extend the commitment. If it is not, the team should be able to narrow the scope, add discovery, change the intervention, or hold the work without treating any of those choices as failure. This keeps governance attached to a real choice instead of turning it into commentary on work that will continue regardless.

Leaders should resist the temptation to convert this test into a universal score. The relevant question is whether the available evidence is sufficient for this particular next step, given the consequence of error and the reversibility of the commitment. A small, reversible trial can proceed with less evidence than an enterprise-wide rollout, a material dependency, or an automated action that is difficult to undo.

This distinction matters because a portfolio is not improved by making every initiative look equally governed. It is improved when leaders can see which commitments have earned confidence, which still need evidence, and where limited attention should be applied next. The record makes that judgment repeatable without pretending that the judgment can be automated.

The habit can begin with a short standing question in the normal management cadence: what would we need to see before we extend reliance on dependency slip? The answer should be recorded where the people doing the work can find it. That modest discipline reduces retrospective debate because it makes the original basis for the decision available when conditions change.

Risk materialization is not a label to add to a project charter. It is a commitment with an owner, a boundary, and evidence that a sponsor can examine. The point is to turn an assumption into an explicit condition of work.

In practice, teams should ask what would make risk materialization fail under ordinary operating pressure: a competing priority, a missing input, an ambiguous decision, a changed dependency, or an exception that no one owns. The answer identifies the smallest control required before reliance expands.

The standard is deliberately practical. A team can narrow the commitment, stage discovery, add a named review, secure a decision, or stop the work. Each is better than continuing under a premise that the organization has not actually accepted.

The first design question is ownership. Someone must be able to say whether risk materialization is adequate for the next commitment, and that person needs information early enough to act. Naming an owner is not bureaucracy; it prevents a consequential judgment from being distributed so widely that nobody can make it.

The second design question is evidence. Evidence need not be a large report. It may be a decision record, a sample of real workflow cases, a capacity confirmation, a stakeholder commitment, or a documented test. The useful standard is whether a skeptical sponsor can understand why risk materialization is credible and what remains uncertain.

The third design question is boundary. Teams need to know what risk materialization does not authorize, what condition would cause it to be revisited, and which escalation path applies when the boundary is crossed. A visible boundary turns surprise into a managed exception rather than an informal renegotiation.

The fourth design question is cadence. Operating conditions change after a decision. A lightweight recurring review asks whether risk materialization still fits the work, whether the original evidence still applies, and whether reliance should expand, remain bounded, or be reduced. That is how a framework becomes an operating control.

The final design question is learning. Recurring problems around risk materialization should improve the next decision rather than become folklore about a difficult project. Capturing the pattern gives portfolio leaders better questions, more realistic commitments, and a way to distinguish a one-off event from a weakness in the operating model.

This is also where proportionality matters. A low-consequence decision can use a short record and a rapid review. A decision that changes a recurring workflow, exposes sensitive information, consumes scarce capacity, or creates a difficult-to-reverse dependency deserves more evidence and a clearer escalation path. The framework scales the control to the commitment rather than applying one ritual to every kind of work.

A useful operating illustration is a team that appears ready until an ordinary case falls outside the happy path. The work then pauses while people discover who may decide, what outcome is actually protected, whose participation is needed, or what capacity is available. Designing risk materialization in advance makes that ordinary case visible before it becomes expensive.

The portfolio implication is cumulative. One unresolved condition may be tolerable; many unresolved conditions across active initiatives create a hidden demand on senior attention and specialist capacity. Making risk materialization explicit allows leaders to decide which uncertainty deserves investment, which should remain bounded, and which initiative should wait.

The practical record should be concise enough to be used. It should identify the next commitment, the owner, the evidence examined, the boundary of reliance, and the next review date. If the record cannot make those elements plain, it is not yet helping the team govern risk materialization; it is simply producing more documentation.

A useful review also names the decision that follows from the evidence. If risk materialization is adequate, the organization may extend the commitment. If it is not, the team should be able to narrow the scope, add discovery, change the intervention, or hold the work without treating any of those choices as failure. This keeps governance attached to a real choice instead of turning it into commentary on work that will continue regardless.

Leaders should resist the temptation to convert this test into a universal score. The relevant question is whether the available evidence is sufficient for this particular next step, given the consequence of error and the reversibility of the commitment. A small, reversible trial can proceed with less evidence than an enterprise-wide rollout, a material dependency, or an automated action that is difficult to undo.

This distinction matters because a portfolio is not improved by making every initiative look equally governed. It is improved when leaders can see which commitments have earned confidence, which still need evidence, and where limited attention should be applied next. The record makes that judgment repeatable without pretending that the judgment can be automated.

The habit can begin with a short standing question in the normal management cadence: what would we need to see before we extend reliance on risk materialization? The answer should be recorded where the people doing the work can find it. That modest discipline reduces retrospective debate because it makes the original basis for the decision available when conditions change.

New strategic demand is not a label to add to a project charter. It is a commitment with an owner, a boundary, and evidence that a sponsor can examine. The point is to turn an assumption into an explicit condition of work.

In practice, teams should ask what would make new strategic demand fail under ordinary operating pressure: a competing priority, a missing input, an ambiguous decision, a changed dependency, or an exception that no one owns. The answer identifies the smallest control required before reliance expands.

The standard is deliberately practical. A team can narrow the commitment, stage discovery, add a named review, secure a decision, or stop the work. Each is better than continuing under a premise that the organization has not actually accepted.

The first design question is ownership. Someone must be able to say whether new strategic demand is adequate for the next commitment, and that person needs information early enough to act. Naming an owner is not bureaucracy; it prevents a consequential judgment from being distributed so widely that nobody can make it.

The second design question is evidence. Evidence need not be a large report. It may be a decision record, a sample of real workflow cases, a capacity confirmation, a stakeholder commitment, or a documented test. The useful standard is whether a skeptical sponsor can understand why new strategic demand is credible and what remains uncertain.

The third design question is boundary. Teams need to know what new strategic demand does not authorize, what condition would cause it to be revisited, and which escalation path applies when the boundary is crossed. A visible boundary turns surprise into a managed exception rather than an informal renegotiation.

The fourth design question is cadence. Operating conditions change after a decision. A lightweight recurring review asks whether new strategic demand still fits the work, whether the original evidence still applies, and whether reliance should expand, remain bounded, or be reduced. That is how a framework becomes an operating control.

The final design question is learning. Recurring problems around new strategic demand should improve the next decision rather than become folklore about a difficult project. Capturing the pattern gives portfolio leaders better questions, more realistic commitments, and a way to distinguish a one-off event from a weakness in the operating model.

This is also where proportionality matters. A low-consequence decision can use a short record and a rapid review. A decision that changes a recurring workflow, exposes sensitive information, consumes scarce capacity, or creates a difficult-to-reverse dependency deserves more evidence and a clearer escalation path. The framework scales the control to the commitment rather than applying one ritual to every kind of work.

A useful operating illustration is a team that appears ready until an ordinary case falls outside the happy path. The work then pauses while people discover who may decide, what outcome is actually protected, whose participation is needed, or what capacity is available. Designing new strategic demand in advance makes that ordinary case visible before it becomes expensive.

The portfolio implication is cumulative. One unresolved condition may be tolerable; many unresolved conditions across active initiatives create a hidden demand on senior attention and specialist capacity. Making new strategic demand explicit allows leaders to decide which uncertainty deserves investment, which should remain bounded, and which initiative should wait.

The practical record should be concise enough to be used. It should identify the next commitment, the owner, the evidence examined, the boundary of reliance, and the next review date. If the record cannot make those elements plain, it is not yet helping the team govern new strategic demand; it is simply producing more documentation.

A useful review also names the decision that follows from the evidence. If new strategic demand is adequate, the organization may extend the commitment. If it is not, the team should be able to narrow the scope, add discovery, change the intervention, or hold the work without treating any of those choices as failure. This keeps governance attached to a real choice instead of turning it into commentary on work that will continue regardless.

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This distinction matters because a portfolio is not improved by making every initiative look equally governed. It is improved when leaders can see which commitments have earned confidence, which still need evidence, and where limited attention should be applied next. The record makes that judgment repeatable without pretending that the judgment can be automated.

The habit can begin with a short standing question in the normal management cadence: what would we need to see before we extend reliance on new strategic demand? The answer should be recorded where the people doing the work can find it. That modest discipline reduces retrospective debate because it makes the original basis for the decision available when conditions change.

The framework becomes useful when it changes a real decision. A recurring review should ask what has changed, which assumption is now visible, who owns the next move, and what evidence would justify a larger commitment. That is governance as operating work rather than retrospective reporting.

There is a counterargument worth taking seriously: additional controls can become ceremony. The answer is not to remove every control. It is to use the lightest control that makes the relevant decision, boundary, and accountability clear. Reversible work deserves a lighter standard than consequential work.

The shift is straightforward. A Portfolio Needs Scenarios, Not a Single Annual Plan asks leaders to govern the conditions of reliance, not merely the activity around an initiative. When those conditions are explicit, teams can move faster with less hidden risk. When they are not, apparent momentum is only a more organized form of uncertainty.

The discipline is deliberately modest. It does not promise that uncertainty disappears or that a single framework will resolve competing interests. It gives the people responsible for the next commitment a common way to say what is known, what is not yet known, and what decision is justified now. That is enough to turn a hidden operating risk into work leaders can actually govern.

Notes and sources

[1] Project Management Institute, "Pulse of the Profession 2026: Driving Success in Complex Projects," May 2026. https://www.pmi.org/learning/thought-leadership/driving-success-in-complex-projects

[2] Bent Flyvbjerg, "Quality Control and Due Diligence in Project Management," 2013. https://arxiv.org/abs/1302.2544

About the author

Marco Policani is an enterprise portfolio, PMO, and AI operating-governance leader. He builds portfolio governance systems where AI carries the analytical load and named humans own every decision — an approach documented across case studies, walkthroughs, and working governance guides on his portfolio site.

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